

at a remarkable pace. "As a result of government initiatives to support local entrepreneurs and the opening up of the space market to private operators, the industry has seen a lot of growth," says Neha Singh, Co-founder of market intelligence platform Tracxn. A report by global consultancy Arthur D. Little endorses Singh's view. "India's current space market is around \$8 billion in size, and has grown at a CAGR of 4 per cent in the past few years compared to 2 per cent globally," says the report.

Although this is encouraging, it may be necessary to take more enabling measures before the companies competing for India's spacetechnology pie can be successfully launched into the next growth orbit. But space is a cruel place where failure is not an option unless entities involved have government backing (as is the case with most global space agencies), or well-capitalised, like Elon Musk's SpaceX. This justifies the relaxing of FDI regulations for the sector, in addition to the incentives already provided by India, say experts.

## FDI IN THE FINAL FRONTIER

Before 2030, India's spacetechnology ecosystem will produce multiple unicorns in multiple segments, predicts an early investor in the domain. "I am convinced that we will have at least three to four unicorns emerging in India's spacetechnology industry in another five years," says Ravinder Pal Singh, Partner at venture capital fund Kalaari Capital. Singh led the fund's investments in spacetechnology infrastructure firm Digantara, which was among the first start-ups to successfully demonstrate its proof of concept in 2022.

The growth potential of the sector is immense. In the past 10 years, nearly \$27 billion in investments were made globally in certain segments of the space sector, which is now worth close to \$4 trillion, according to Singh. "If you look at space from the insurance

## INDIA'S SPACE ODYSSEY

**The CCS cleared the Indian Space Policy 2023 in April to facilitate, stimulate and develop a flourishing commercial presence in the global space market**

**India also joined the Artemis Accords, an international commitment led by the US, to return humans to the moon by 2025**

**For India's spacetechnology industry to be competitive on the global stage, the Space Activity Bill must be approved**

**To encourage private investment, the government has also exempted private launch service companies from paying GST when they launch satellites**

**The country has over 400 private space companies, the fifth-highest globally; in 2022-23, these companies had raised \$210.6 million in funding, up 29.12 per cent from a year ago**

industry perspective, it is not even tapped. Imagine if somebody can provide better visibility and transparency not only for objects in space but also for objects on the earth, that will be a huge thing," he says.

Therefore, the industry has long advocated for relaxing FDI norms, as the current framework is often ambiguous and confusing. Ranjana Kaul, Partner at New Delhi-based law firm Dua Associates, describes this as a "generic demand". "FDI has been allowed for setting up satellite systems for 23 years. It used to be 74 per cent and then during the launch of the Make in India programme in 2018 it was overnight made 100 per cent, subject to sectoral guidelines. Those guidelines say that within five years, you have to bring it down to 74 per cent. So, whenever anyone says FDI should be allowed, the question that needs to be asked is which precise point are they looking for? That's the story on FDI."

The good news is that policymakers are aware of the difficulties private spacetechnology companies have in attracting funding and are actively working on a solution. "We realised that many of the start-ups are facing difficulties in raising funding, while there's an interest among foreign investors to invest in them. In less than a year, we have covered major ground in terms of a revised [FDI] policy draft that strikes a very fine balance between the needs of our start-ups getting funding and the needs of foreign companies that are [setting up shop] in India, while also protecting the interests of India's nascent private sector," says Pawan Goenka, Chairperson of the Indian National Space Promotion and Authorisation Centre (IN-SPACe), the single window nodal agency for authorising, promoting and regulating private players in the space sector. He adds that the revised FDI policy draft is being approved and will be released soon. Partially echoing Kaul on foreign investment, Goenka says this is much